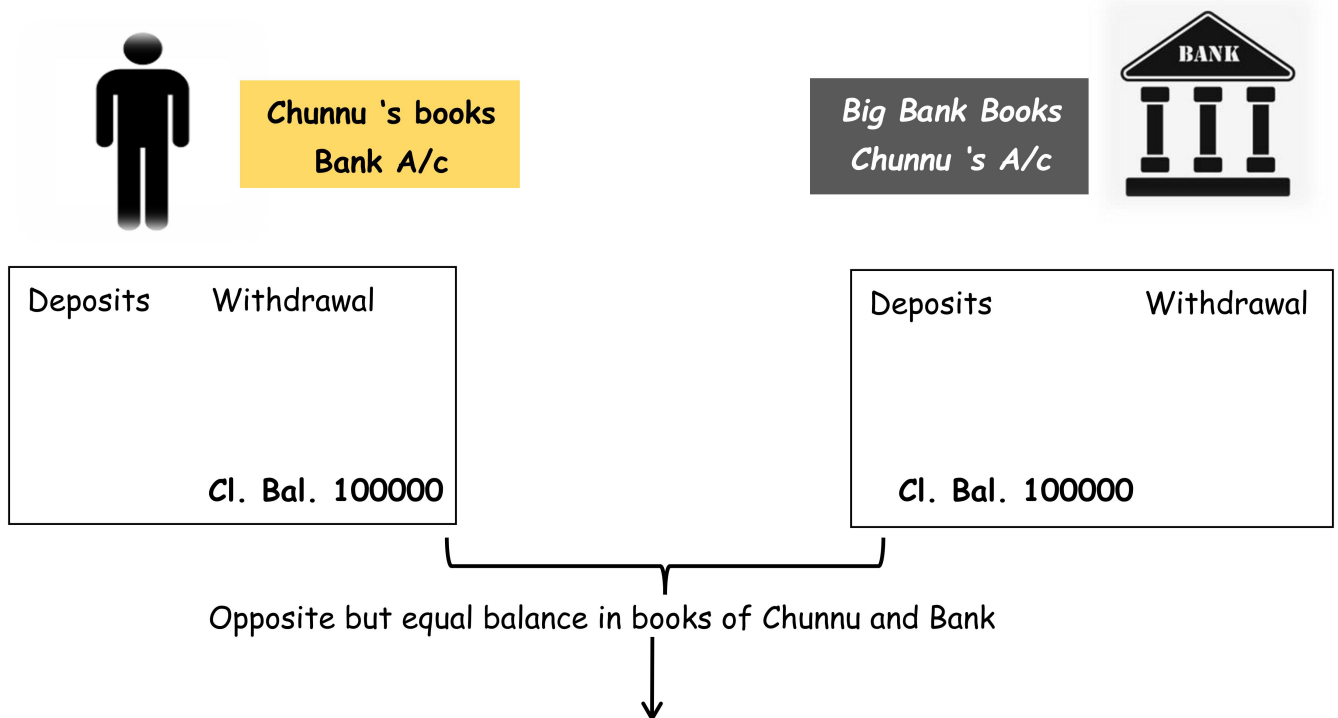


Bank Reconciliation Statement



If there is a difference in these two balances, then we need to prepare a Bank Reconciliation Statement.

Reconciliation is the process of ensuring that two sets of records (usually the balances of two accounts) are in agreement in accounting books.

Bank Reconciliation statement (BRS) is a statement which reconciles the bank balance as per Cash Book with the balance as per Bank Pass Book/Statement (ledger copy issued by bank to customers as recorded in their books) showing causes of all differences between two. Some entries may have been recorded in Cash Books but do not appear in Bank passbook/statement and vice versa. Hence, on a particular date balance as per Bank and Cash Book may not tally.

Who prepares BRS?

- BRS is prepared by individual (Chunnu) and not by the bank.
- It is prepared as a rough work and is not a part of final accounts of the individual.

➤ While reconciling, the individual needs to ensure that he matches all his transactions with the transactions of the bank. This means:

- If the bank has passed the entry and the individual has not, then the individual will have to pass the entry. (TIMING DIFFERENCE)
- If the individual has passed the entry and bank has not, then the individual will have to reverse the entry in his books. (TIMING DIFFERENCE)
- If the bank has made a mistake in its books, then the individual will also record the same for the purpose of reconciliation. (DIFFERENCE DUE TO ERROR)
- If the individual has committed an error, then he will reverse it. (DIFFERENCE DUE TO ERROR)

Remember:
Individual will
match the Bank

Reasons for Differences

Timing Differences

Bank has Passed → Record the Entry
the entry & Individual has not

Individual has Passed → Reverse the Entry
the entry & The bank has not.

Differences arising due to errors

Bank has made an error & Individual has not
Repeat the Error

Individual has made an error &
Bank has not → Reverse the Entry

Chunnu's Books

Cash book (Bank Column) OR Bank A/c

Dr.

Cr.

Balance as per Cash book (Fav.)	X	Balance as per Cash book (Fav.)	X
Balance as per Pass book (U. Fav.)	X	Balance as per Pass book (U. Fav.)	X
2. Cheque issued but not presented	+ - - +	1. Cheque deposited but not cleared	- + + -

3. Cheque directly deposited by a customer	+	-	-	+	5. Expenses directly paid by bank	-	+	+	-
4. Income directly received by bank	+	-	-	+	6. Bank charges levied by bank	-	+	+	-
9. Wrong credit in Cash book	+	-	-	+	7. Locker rent levied by bank	-	+	+	-
11. Wrong credit in Pass book	+	-	-	+	8. Wrong Debit in Cash book	-	+	+	-
12. Undercasting of Debit side of Cash book	+	-	-	+	10. Wrong Debit in Pass book	-	+	+	-
15. Overcasting of Credit side of Cash book	+	-	-	+	13. Overcasting of Debit side of Cash book	-	+	+	-
16. Bills receivable collected directly by bank	+	-	-	+	14. Undercasting of Credit side of Cash book	-	+	+	-
					17. Interest on Bank O/D charged	-	+	+	-

PREPARATION OF BANK RECONCILIATION STATEMENT AFTER PREPARING ADJUSTED CASH BOOK

-All the logics as studied earlier will apply in the same manner.

-However, the changes need to be considered: -

1. Effects of all errors made by the entity will be done in adjusted cash book.
2. After doing so, the effects of errors committed by the bank will be done in BRS.